

Chapter 1: An Overview of Marketing & Marketing Management

1.1. Marketing and its core concepts

What is marketing?

Marketing is engaging customers and managing profitable customer relationships. The two goal of marketing is to attract new customers by promising superior value and to keep and grow current customers by delivering value and satisfaction. Marketing: old sense- making a sale—“telling and selling”, new sense- satisfying customer needs. Selling is an action which converts the product in to cash. Selling occurs only after a product is produced. By contrast, marketing starts long before a company has a product. Marketing is the process by which companies engage customers, build strong customer relationships, and create customer value in order to capture value from customers in return. Marketing is a social and managerial process by which individuals and organizations obtain what they need and want through creating and exchanging value with others. Marketing is defined by the American Marketing Association as “the activity, set of institutions, and processes for creating, communicating, delivering, and exchanging offerings that have value for customers, clients, partners, and society at large. Marketing is about customers. Customers are an essential component of a marketing system. Marketing is about making money from satisfied customers. Marketing deals with customers. Marketing is the art of choosing target markets delivering superior customer value. Marketing is the process of matching & satisfying the customer needs and wants. Marketing is the management process for identifying, anticipating & satisfying customer requirements profitably. It is putting the right product in the right place at the right price, at the right time. It is a process of transacting goods and services from the producer to consumers. Marketing is a process of anticipation, management and satisfaction of demand through exchange.

- *Anticipation of demand* refers to the estimation or forecasting of how consumers demand for products in the future changes.
- *Management of demand* also refers to the stimulation of demand, facilitation of usage and regularity of supply.
- *Satisfaction of demand* refers to the ability to meet or exceed the expectation of customers demand by providing after sales service such as packing, transportation, maintenance, guarantee etc.

Marketing Management is defined as the analysis, planning, implementation and control of programmes designed to create, build and maintain beneficial exchanges with target buyers for the purpose of achieving organizational objectives. Marketing management is the art and science of choosing target markets and building profitable relationships with them. Marketing management involves managing demand, which in turn involves managing customer relationships.

Core Concepts of Marketing

A. Needs, Wants and Demands

- ✓ ***Needs:** is a state of felt deprivation. Basic human requirements. It is defined as a discrepancy between the actual state and desired state of a human being. It is the deficiency of something useful. Needs are not created by society or by marketers.*

- ✓ **Wants:** are desires for specific satisfiers of needs. Shaped by culture & individual personality. A want for one person may not be a want for another person. What is desired by one person may not be desired by another- what is good for one person may be worse for another. E.g. A person needs food but wants spaghetti.
- ✓ **Demands:** are wants for specific products that are backed by ability & willingness to buy them. It is a desire of getting a product with ability and intention to pay.

B. Products (Goods, Services)

- **Product** is anything that can be offered to the market for consumption, acquisition purpose and to satisfy customer wants.
- **Service** is any activity that one party can offer to another which is intangible and does not result in ownership of anything.

C. Customer Value, Cost and satisfaction

- **Customer value:** is the consumer's estimate of the product's overall capacity to satisfy his or her needs.
- **Value:** is a set of benefits promised to consumers to satisfy their needs. Value is the difference between the values the customer gains from owning and using a product and the costs of obtaining the product.
- **Cost:** is the amount of money that is going to be incurred to acquire a product.
- **Satisfaction:** is the extent to which a product's perceived performance matches a buyer's expectations. If the product's performance falls short of expectations, the buyer is dissatisfied. If performance matches or exceeds expectations, the buyer is satisfied or delighted.

D. Exchange, Transactions, Relationships

- **Exchange** - is the act of obtaining a desired object from someone by offering something in return.
- **Transaction** - is marketing's unit of measurement. A transaction consists of a trading of values between two parties. A transaction involves: at least two things of value, agreed-upon conditions, a time of agreement, and a place of agreement.
- **Relationship Marketing** – is the process of creating, maintaining and enhancing strong, value-laden relationships with customers and other stakeholders.

E. Markets, Market offerings

- **Market** is a physical place where buyers and sellers gathered to buy and sell goods. A market is the set of actual and potential buyers of a product.
- **Market offerings:** Some combination of products, services, information, or experiences offered to a market to satisfy a need or want. **Marketing myopia** is the mistake of paying more attention to the specific products a company offers than to the benefits and experiences produced by these products.

Demand Management

The organization has a desired level of demand for its products. At any point in time, there may be no demand, adequate demand, irregular demand or too much demand, and marketing management must find ways to deal with these different demand states. Marketing management is concerned not only with finding and increasing demand, but also with changing or even reducing it.

- 1) **Negative demand:** Consumers dislike the product and may even pay a price to avoid it. The product might be beneficial but the customer does not want it. E.g vaccination, dental work. The marketing task is conversational marketing to analyze the reasons for this dislike and to find out whether a marketing program consisting of product redesign, lower prices, and more positive promotion could change the customer's belief and attitude.*
- 2) **Non-existent demand (No demand):** it occurs when target consumers are unaware of or uninterested in the product. Example: - A college student may be uninterested in foreign language courses; - Farmers may not be interested in a new farming method. The marketing task is stimulation marketing to find ways to connect the benefits of the product with the person's natural needs and interests.*
- 3) **Latent demand:** it occurs when many consumers may share a strong need that cannot be satisfied by any existing product. For example, consumers have a strong demand for harmless cigarettes, more fuel-efficient cars, AIDS vaccine, etc which are not available in the market. The marketing task is Developmental Marketing to measure the size of the potential market and develop effective goods and services that would satisfy the demand.*
- 4) **Declining demand:** it occurs when the demand for a particular product falls from time to time due to different reasons like strong competition, consumer preference shifts, introduction of new technologies and so on. Every organization sooner or later faces declining demand for one or more of its products. The Marketer task is -Remarketing /Re stimulating first, analyze why demand declines and -find new target market, price reduction, changing the products features or applying more effective promotional packages.*
- 5) **Irregular demand** - Consumer purchases vary on a seasonal, monthly, weekly, daily, or even hourly basis. E.g. Hotel, Museums or seasonal products like umbrella. The marketing task is synchronic marketing to find ways to alter the time pattern of demand through flexible pricing, promotion and other incentives.*
- 6) **Full demand:** Consumers are adequately buying all products put into the marketplace. E.g. salt in Ethiopia context, have always a full demand. This is an ideal situation where supply = demand. The **Marketing strategy** here is Maintain marketing which is maintaining the level of demand by measuring the satisfaction level of consumers along with quality controlling.*
- 7) **Overfull Demand:** some organizations face a demand level that is higher than they can or want to handle. Where consumers are ready to buy more and more than required. The marketing task, called de-marketing, requires finding ways to reduce the demand temporarily or permanently through such steps as: raising prices, and reducing promotion and service. De-marketing aimed not to destroy demand but only to reduce the level of demand temporarily or permanently.*

- 8) **Unwholesome demand:** Consumers may be attracted to products that have undesirable social consequences. E.g. cigarettes, alcohol, hard drugs. **Marketing strategy is counter marketing** Unwholesome products require organized efforts to discourage their consumption by using fear message, price raise, reduce availability.

1.2. Philosophies of Marketing

- 1 **Production Concept:** it holds that consumers will favor products that are available and highly affordable (low in price). The organization should focus on improving production and distribution efficiency.
- 2 **Product Concept:** it holds that consumers will favor products that offer the most quality, performance and innovative features. The organization should devote its energy to making continuous product improvements.
- 3 **Selling Concept:** it holds that consumers will not buy enough of the firm's products unless it undertakes a large-scale selling and promotion effort.
- 4 **Marketing Concept:** it holds that achieving organizational goals depends on knowing the needs and wants of target markets and delivering the desired satisfactions better than competitors do.
- 5 **Societal Marketing Concept:** it holds that marketing strategy should deliver value to customers in a way that maintains or improves both the consumer's and the society's well-being. The idea that a company's marketing decisions should consider consumers' wants the company's requirements, consumers' long-run interests, and society's long-run interests.

1.3. Importance of marketing

Marketing is an important social activity that offers benefits to all the parties concerned.

- **For producer and businessman** - helps to make marketing related decisions: Finding out who are our customers, what are their need and want, what good & service to offer & at what price?
- **For consumer** helps to make marketing related decision: Where to shop, which salesperson to contact, what price to pay, what to buy.
- **For an employee** - It offers career opportunities to a large number of people.
- **To the society**- It contributes to the economic growth & development of the society & country.

Marketing: Promotes product awareness to the public, builds company reputation, and Helps boost product sales. It contributes greatly to the success of the organization.

- Marketing creates utilities such as: **Utility** is the satisfaction of customers that are getting from using the product.
 - **Place utility:** -Marketing makes products readily available at a place where customers want them.
 - **Time utility:** -Marketing makes products available at the time when they are wanted by customers.
 - **Possession utility:** -Marketing makes possession by selling the product to customer.
 - **Form utility:** - Form entails the physical or chemical change that takes place through production which is based on the marketing effort in identifying what customers need & want.

- **Information Utility:** it is created by informing prospective buyers that a product exists.

1.4. Scope of Marketing-aspects covered in marketing

Everything you need to know about the nature and scope of marketing. What is all covered in marketing is considered as the scope or area of marketing. Marketing has a very wide scope it covers all the activities from conception of ideas to realization of profits. Marketing is pervasive in scope; any type of entity which is of value to a market segment can be marketed. The scope of marketing is determined by the marketing offering of an organization. Market offering is a combination of goods, services, ideas, persons, places, information, etc. offered to a market to satisfy specific needs and wants of people. Market offerings are not limited to physical goods. They also include services like banking, air travel, hotel stay, tourism, etc. which are not tangible in nature and can't be owned by the buyers. In the scope of things marketed one can include:

- ✚ **Products and Services:** Products and Service are the basic element of marketing. If there is no product there is no marketing. It is concerned with the nature and type of products, product quality and design, product planning and development, product decisions relating to branding, labelling, packaging, trademarks etc.
- ✚ **Ideas:** Certain ideas are also marketed. New ideas can be marketed.
- ✚ **Persons:** We observe marketing of persons also. For example, in an election campaign, a candidate is marketed and voters are persuaded to vote for him.
- ✚ **Organizations:** Many organizations including social, political, religious, educational, etc. market themselves to build up their reputation and to make people aware about their activities
- ✚ **Places:** The marketing of places is also a common feature of the day. Tour and travel agencies induce people to visit various tourist and health resorts. It is also known as destination marketing.
- ✚ **Experiences:** Experience in any field increases the knowledge level and leads to perfection. An experienced personality is valued high in the society, as such the experience has become a marketable item. Marketing people are involved in marketing the experiences also.
- ✚ **Properties:** These are also marketable entities, which may be in tangible or intangible forms. The real estate things are the examples of tangible properties and the securities, stocks and bonds are considered as financial properties.
- ✚ **Information:** The present world is moving fast with the fastest flow of information. Like other commodities, information is produced and sold to the needy clients. Publication, research organizations, Magazines, Periodicals, policies etc., are the providers of rich information. They see that their information reaches the users..
- ✚ **Event:** Marketers are now engaged in rendering such services to make events successful. They show their professionalism in organizing special events. For instance, organizing the fashion shows, Artistic Performance, Company Training Programs, General Body Meetings, Trade Fairs, Sports events etc. Such events can be successful only through proper planning and execution. The marketers have to make people attend such events and the number decides the success of events.

1.5. Goals of Marketing System

Four goals have been suggested

- 1. Maximize Consumption:** *Many business individuals believe that marketing's job should be to stimulate maximum possible utilization, which will create maximum possible technology, profession, and variety.*
- 2. Increase Consumer Satisfaction:** *Another view can handle that the goal of the marketing system is to increase client support, not simply the quality of utilization. Buying a new car or having more outfits number only if this plays a role in the client's fulfillment.*
- 3. Increase Choice:** *The objective of a marketing system should be to increase products large variety and client choice.*
- 4. Improve Life Quality:** *Many people believe that the purpose of a marketing system should be to boost the way of life.*

Chapter 2: Marketing Environments

2.1. Meaning of Marketing Environment

Marketing environment is the actors and forces outside marketing that affect marketing management's ability to build and maintain successful relationships with target customers. The marketing environment consists of external forces that directly and/or indirectly impact the organization. Changes in the environment create opportunities and threats for the organizations. To track these external forces a company uses environmental scanning → Continual monitoring of what is going on. Environmental scanning collects information about external forces. It is conducted through the Marketing Information System. Environmental analysis determines environmental changes and predicts future changes in the environment. The marketing manager should be able to determine possible threats and opportunities from the changing environment. Marketing environment consists of:

- Microenvironment
- Macro environment

Microenvironment

It is the actors close to the company that affect its ability to serve its customers- the company, suppliers, marketing intermediaries, customer markets, competitors, and publics.

Actors in the Microenvironment

o The Company

In designing marketing plans, marketing management takes other company groups into account—groups such as top management, finance, research and development (R&D), purchasing, operations, human resources, and accounting. Top management sets the company's mission, objectives, broad strategies, and policies. Marketing managers make decisions within these broader strategies and plans. Marketing managers must work closely with other company departments. With marketing taking the lead, all departments—from manufacturing and finance to legal and human resources—share the responsibility for understanding customer needs and creating customer value.

o Suppliers

Suppliers form an important link in the company's overall customer value delivery network. They provide the resources needed by the company to produce its goods and services. Supplier problems can seriously affect marketing. Marketing managers must watch supply availability and costs. Supply shortages or delays, natural disasters, and other events can cost sales in the short run and damage customer satisfaction in the long run.

o Marketing Intermediaries

Firms that help the company to promote, sell, and distribute its goods to final buyers. They include resellers, physical distribution firms, marketing services agencies, and financial intermediaries. **Resellers** are distribution channel firms that help the company find customers or make sales to them. These include wholesalers and retailers that buy and resell merchandise. **Physical distribution firms** help the company stock and move goods from their points of origin to their destinations. **Marketing services agencies** are the marketing research firms, advertising agencies, media firms, and marketing consulting firms that help the company target and promote its products to the right markets. **Financial**

intermediaries include banks, credit companies, insurance companies, and other businesses that help finance transactions or insure against the risks associated with the buying and selling of goods.

○ **Competitors**

The marketing concept states that, to be successful, a company must provide greater customer value and satisfaction than its competitors do. Thus, marketers must do more than simply adapt to the needs of target consumers. They also must gain strategic advantage by positioning their offerings strongly against competitors' offerings in the minds of consumers. No single competitive marketing strategy is best for all companies. Each firm should consider its own size and industry position compared with those of its competitors. Large firms with dominant positions in an industry can use certain strategies that smaller firms cannot afford. But being large is not enough. There are winning strategies for large firms, but there are also losing ones. And small firms can develop strategies that give them better rates of return than large firms enjoy.

○ **Publics**

Public is any group that has an actual or potential interest in or impact on an organization's ability to achieve its objectives. **Financial publics** - This group influences the company's ability to obtain funds. Banks, investment analysts, and stockholders are the major financial publics. **Media publics** - This group carries news, features, editorial opinions, and other content. It includes television stations, newspapers, magazines, and blogs and other social media. **Government publics** - Management must take government developments into account. Marketers must often consult the company's lawyers on issues of product safety, truth in advertising, and other matters. **Citizen-action publics** - A company's marketing decisions may be questioned by consumer organizations, environmental groups, minority groups, and others. Its public relations department can help it stay in touch with consumer and citizen groups. **Internal publics** - This group includes workers, managers, volunteers, and the board of directors. Large companies use newsletters and other means to inform and motivate their internal publics. When employees feel good about the companies they work for, this positive attitude spills over to the external publics. **General public** - A company needs to be concerned about the general public's attitude toward its products and activities. The public's image of the company affects its buying behavior. **Local publics** - This group includes local community residents and organizations. Large companies usually work to become responsible members of the local communities in which they operate.

○ **Customers**

Customers are the most important actors in the company's microenvironment. The aim of the entire value delivery system is to serve target customers and create strong relationships with them. The company might target any or all of five types of customer markets. **Consumer markets** consist of individuals and households that buy goods and services for personal consumption. **Business markets** buy goods and services for further processing or use in their production processes, whereas **reseller markets** buy goods and services to resell at a profit. **Government markets** consist of government agencies that buy goods and services to produce public services or transfer the goods and services to others who need them. Finally, **international markets** consist of these buyers in other countries, including consumers, producers, resellers, and governments.

Macro environment

It is the larger societal forces that affect the microenvironment- demographic, economic, natural, technological, political, and cultural forces

○ Demographic Environment

Demography is the study of human populations in terms of size, density, location, age, gender, race, occupation, and other statistics. The demographic environment is of major interest to marketers because it involves people, and people make up markets. Changes in the world demographic environment have major implications for business. Thus, marketers keep a close eye on demographic trends and developments in their markets. They analyze changing age and family structures, geographic population shifts, educational characteristics, and population diversity.

○ Economic Environment

Markets require buying power as well as people. The economic environment consists of economic factors that affect consumer purchasing power and spending patterns. Economic factors can have a dramatic effect on consumer spending and buying behavior. Marketers should pay attention to income distribution as well as income levels. Changes in major economic variables, such as income, cost of living, interest rates, and savings and borrowing patterns, have a large impact on the marketplace. Companies watch these variables by using economic forecasting.

○ Natural Environment

*It is the physical environment and the natural resources that are needed as inputs by marketers or that are affected by marketing activities. Unexpected happenings in the physical environment - anything from weather to natural disasters - can affect companies and their marketing strategies. Marketers should be aware of several trends in the natural environment. The first involves growing **shortages of raw materials**. A second environmental trend is **increased pollution**. A third trend is **increased government intervention** in natural resource management. The governments of different countries vary in their concern and efforts to promote a clean environment. Marketers should help develop solutions to the materials and energy problems facing the world. Concern for the natural environment has initiated an environmental sustainability movement. Environmental sustainability means developing strategies and practices that create a world economy that the planet can support indefinitely.*

○ Technological environment

Technological environment is forces that create new technologies, creating new product and market opportunities. Technology has released such wonders as antibiotics, robotic surgery, smart phones, and the internet.

○ Political environment

The political environment consists of laws, government agencies, and pressure groups that influence or limit various organizations and individuals in a given society.

Legislation Regulating Business - governments develop public policy to guide commerce - sets of laws and regulations that limit business for the good of society as a whole. Legislation is highly affect business practices. Marketers must work hard to keep up with changes in regulations and their interpretations. Business legislation has been enacted for a number of reasons:

1. To protect companies from each other.
2. To protect consumers from unfair business practices.
3. To protect the interests of society against unrestrained business behavior.

Increased Emphasis on Ethics and Socially Responsible Actions - beyond written laws and regulations, business is also governed by social codes and rules of professional ethics. ***Socially Responsible Behavior*** - Enlightened companies encourage their managers to look beyond what the regulatory system allows and simply “do the right thing.” These socially responsible firms actively seek out ways to protect the long-run interests of their consumers and the environment.

○ **Cultural environment**

The cultural environment consists of institutions and other forces that affect a society’s basic values, perceptions, preferences, and behaviors. People grow up in a particular society that shapes their basic beliefs and values. The following cultural characteristics can affect marketing decision making.

The Persistence of Cultural Values

People in a given society hold many beliefs and values. Their core beliefs and values have a high degree of persistence. These beliefs shape more specific attitudes and behaviors found in everyday life. Core beliefs and values are passed on from parents to children and are reinforced by schools, businesses, religious institutions, and government. Secondary beliefs and values are more open to change. Believing in marriage is a core belief; believing that people should get married early in life is a secondary belief. Marketers have some chance of changing secondary values but little chance of changing core values. For example, family-planning marketers could argue more effectively that people should get married later than not get married at all.

Chapter 3: Buying Behavior

3.1. Consumer Buying Behavior

*Consumer buyer behavior refers to the buying behavior of final consumers - individuals and households that buy goods and services for personal consumption. It describes the buying behavior of individuals and households who buy goods and services for personal or household consumption. All of these final consumers combine to make up the consumer market. **Consumers:** individuals and households buying goods and services for personal and house hold consumption. Consumer market is all the individuals and households that buy or acquire goods and services for personal consumption.*

3.2. Model of Consumer Behavior

Consumers make many buying decisions every day, and the buying decision is the focal point of the marketer's effort. Most large companies' research consumer buying decisions in great detail to answer questions about what consumers buy, where they buy, how and how much they buy, when they buy, and why they buy. Marketers can study actual consumer purchases to find out what they buy, where, and how much. But learning about the whys behind consumer buying behavior is not so easy—the answers are often locked deep within the consumer's mind. Often, consumers themselves don't know exactly what influences their purchases. The central question for marketers is this: How do consumers respond to various marketing efforts the company might use? The starting point is the stimulus-response model of buyer behavior. Marketers want to understand how the stimuli are changed into responses inside the consumer's black box, which has two parts. First, the buyer's characteristics influence how he or she perceives and reacts to the stimuli. These characteristics include a variety of cultural, social, personal, and psychological factors. Second, the buyer's decision process itself affects his or her behavior. This decision process—from need recognition, information search, and alternative evaluation to the purchase decision and post purchase behavior—begins long before the actual purchase decision and continues long after.

3.3. Factors Affecting Consumer Behavior

Consumer purchases are influenced strongly by cultural, social, personal, and psychological characteristics. Marketers cannot control such factors, but they must take them into account.

Cultural Factors

Cultural factors exert a broad and deep influence on consumer behavior. Marketers need to understand the role played by the buyer's culture, subculture, and social class.

- **Culture:** *it is the set of basic values, perceptions, wants, and behaviors learned by a member of society from family and other important institutions. Human behavior is largely learned. Marketers are always trying to spot cultural shifts so as to discover new products that might be wanted.*

- **Subculture:** Each culture contains smaller subcultures, or groups of people with shared value systems based on common life experiences and situations. Subcultures include nationalities, religions, racial groups, and geographic regions. Many subcultures make up important market segments, and marketers often design products and marketing programs tailored to their needs.
- **Social Class:** Social classes are society's relatively permanent and ordered divisions whose members share similar values, interests, and behaviors. Social classes include: upper class, lower class, middle class. Social class is not determined by a single factor, such as income, but is measured as a combination of occupation, income, education, wealth, and other variables. Marketers are interested in social class because people within a given social class tend to exhibit similar buying behavior. Social classes show distinct product and brand preferences in areas such as clothing, home furnishings, travel and leisure activity, financial services, and automobiles.

Social Factors

A consumer's behavior also is influenced by social factors, such as the consumer's small groups, social networks, family, and social roles and status.

- **Groups and Social Networks:** Groups that have a direct influence and to which a person belongs are called membership groups. In contrast, reference groups serve as direct (face-to-face interactions) or indirect points of comparison or reference in forming a person's attitudes or behavior. People often are influenced by reference groups to which they do not belong. Marketers try to identify the reference groups of their target markets. Reference groups expose a person to new behaviors and lifestyles, influence the person's attitudes and self-concept, and create pressures to conform that may affect the person's product and brand choices. The importance of group influence varies across products and brands. Word-of-mouth influence can have a powerful impact on consumer buying behavior. **Word-of-mouth influence** is the impact of the personal words and recommendations of trusted friends, family, associates, and other consumers on buying behavior. Marketers of brands subjected to strong group influence must figure out how to reach opinion leaders—people within a reference group who, because of special skills, knowledge, personality, or other characteristics, exert social influence on others. **Online social networks** are online communities where people socialize or exchange information and opinions.
- **Family:** Family members can strongly influence buyer behavior. Marketers are interested in the roles and influence of the husband, wife, and children on the purchase of different products and services.
- **Roles and Status:** A person belongs to many groups—family, clubs, organizations, online communities. The person's position in each group can be defined in terms of both role and status. A role consists of the activities people are expected to perform according to the people around them. Each role carries a status reflecting the general esteem given to it by society. People usually choose products appropriate to their roles and status.

Personal Factors

A buyer's decisions also are influenced by personal characteristics such as the buyer's occupation, age and stage, economic situation, lifestyle, and personality and self-concept.

- **Occupation:** *A person's occupation affects the goods and services bought. Marketers try to identify the occupational groups that have an above-average interest in their products and services. A company can even specialize in making products needed by a given occupational group.*
- **Age and Life Stage:** *People change the goods and services they buy over their lifetimes. Tastes in food, clothes, and recreation are often age related. Buying is also shaped by the stage of the family life cycle—the stages through which families might pass as they mature over time. Life-stage changes usually result from demographics and life-changing events—marriage, having children, purchasing a home, divorce, children going to college, changes in personal income, moving out of the house, and retirement. Marketers often define their target markets in terms of life-cycle stage and develop appropriate products and marketing plans for each stage.*
- **Economic Situation:** *A person's economic situation will affect his or her product choices. Marketers watch trends in spending, personal income, savings, and interest rates.*
- **Lifestyle:** *Lifestyle is a person's pattern of living as expressed in his or her psychographics. It profiles a person's whole pattern of acting and interacting in the world.*

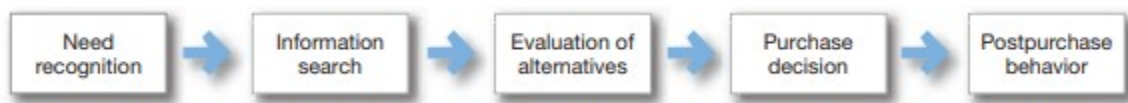
Psychological Factors

A person's buying behavior (choices) is further influenced by psychological factors:

- **Personality:** *The unique psychological characteristics that distinguish a person or group.*
- **Perception:** *it is the process by which people select, organize, and interpret information to form a meaningful picture of the world. A motivated person is ready to act. How the person acts is influenced by their own perception of the situation.*
- **Learning:** *When people act, they learn. Learning describes changes in an individual's behavior arising from experience.*
- **Belief:** *A descriptive thought that a person holds about something.*
- **Attitude:** *A person's consistently favorable or unfavorable evaluations, feelings, and tendencies toward an object or idea.*

3.4. The Buyers' Decision Process

The buying process starts long before the actual purchase and continues long after. Therefore, marketers must focus on the entire buying process, not just the purchase decision. The buyer decision process consists of five stages: need recognition, information search, evaluation of alternatives, the purchase decision, and post purchase behavior.



1. **Need Recognition:** The buying process starts with need recognition - the buyer recognizes a problem or need. It is the first stage of the buyer decision process, in which the consumer recognizes a problem or need. The need can be triggered by **internal stimuli** when one of the person's normal needs- for example, hunger or thirst- rises to a level high enough to become a drive. A need can also be triggered by **external stimuli**. For example, an advertisement or a discussion with a friend might get you thinking about buying a new car.
2. **Information Search:** The stage of the buyer decision process in which the consumer is motivated to search for more information. Consumers can obtain information from any of several sources. These include personal sources (family, friends, neighbors, acquaintances), commercial sources (advertising, salespeople, dealer and manufacturer web and mobile sites, packaging, displays), public sources (mass media, consumer rating organizations, social media, online searches and peer reviews), and experiential sources (examining and using the product).
3. **Evaluation of alternatives:** Alternative evaluation is the stage of the buyer decision process in which the consumer uses information to evaluate alternative brands in the choice set.
4. **Purchase Decision:** it is the buyer's decision about which brand to purchase. In this stage the consumer passes a purchase decision. The stage of the buyer decision process in which the consumer actually buys the product. The consumer will buy the most preferred brand. But two factors can come between the purchase intention and the purchase decision. The first factor is the attitudes of others – for example if your friend / husband/mother/child feels strongly that you should buy the lowest – priced product, then the chances of you to buy a more expensive product will be reduced. The second factor is unexpected situational factors. Most often purchase intentions are made based on factors like expected income, expected price and expected product benefit. However, unexpected factors too may affect your purchase intention like losing your job or a close competitor may drop its price.
5. **Post-purchase behavior:** The stage of the buyer decision process in which consumers take further action after purchase, based on their satisfaction or dissatisfaction. To determine whether customers are satisfied or dissatisfied we have to compare consumers' expectation and the products' perceived performance.

3.5. Consumer Buying Role

People may play any of several roles in buying decisions:

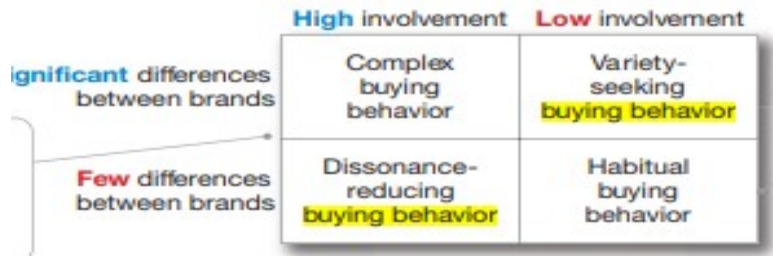
- **Initiator:** the person who first suggests or thinks of the idea of buying a particular product or service.
- **Influencer:** a person whose views or advice influences the buying decision.
- **Decider:** the person who ultimately makes a buying decision or any part of it – whether to buy, what to buy, how to buy, or where to buy.
- **Buyer:** the person who makes an actual purchase.
- **User:** the person who consumes or uses a product or service.

Types of Consumer Buying Decision Behavior

Consumer decision making varies with the type of buying decision. Four types of consumer buying behavior based on the **degree of involvement** and the **extent of the differences among brands**.

Lecture Note on: Principle of Marketing

1. **Complex buying behavior:** Consumer buying behavior in situations characterized by high consumer involvement in a purchase and significant perceived differences among brands.
2. **Dissonance-reducing buying behavior:** Consumer buying behavior in situations characterized by high involvement but few perceived differences among brands.
3. **Habitual buying behavior:** Consumer buying behavior in situations characterized by low consumer involvement and few significant perceived brand differences.
4. **Variety-seeking buying behavior:** Consumer buying behavior in situations characterized by low consumer involvement, but significant perceived brand differences.



Business Buying Behavior

Business buyer behavior refers to the buying behavior of organizations that buy goods and services for use in the production of other products and services that are sold, rented, or supplied to others. It also includes the behavior of retailing and wholesaling firms that acquire goods to resell or rent to others at a profit. In the business buying process, business buyers determine which products and services their organizations need to purchase and then find, evaluate, and choose among alternative suppliers and brands.

Business Markets

The business market is huge. Business markets involve far more money and items than do consumer markets. In some ways, business markets are similar to consumer markets. Both involve people who assume buying roles and make purchase decisions to satisfy needs.

Characteristics of Business Market

However, business markets differ in many ways from consumer markets. The main differences are in market structure and demand, the nature of the buying unit, and the types of decisions and the decision process involved.

- **Market Structure and Demand:** The business marketer normally deals with far fewer but far larger buyers than the consumer marketer does. Business markets have inelastic and more fluctuating demand. Business markets are also more geographically concentrated.
- **Nature of the Buying Unit:** Compared with consumer purchases, a business purchase usually involves more decision participants and a more professional purchasing effort. Business buying is done by trained purchasing agents.

- **Types of Decisions and the Decision Process:** Business buyers usually face more complex buying decisions than do consumer buyers. Business purchases often involve large sums of money, complex technical and economic considerations, and interactions among people at many levels of the buyer's organization. The business buying process also tends to be longer and more formalized.

Buying situations in Business buying

There are three major types of buying situations.

1. **Straight rebuy:** A business buying situation in which the buyer routinely reorders something without modifications.
2. **Modified rebuy:** A business buying situation in which the buyer wants to modify product specifications, prices, terms, or suppliers.
3. **New task:** A business buying situation in which the buyer purchases a product or service for the first time.

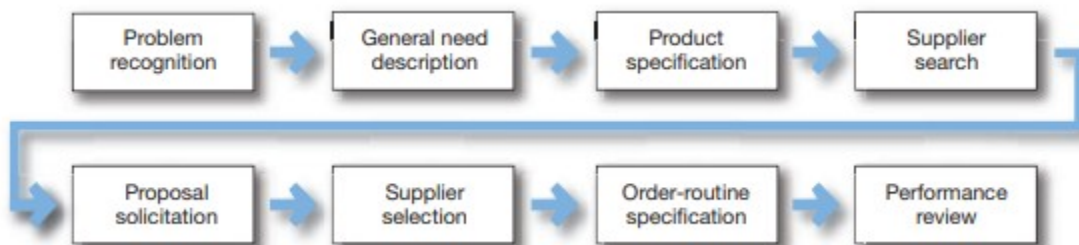
Participants in the Business Buying

The decision-making unit of a buying organization is called its buying center. Buying center are all the individuals and units that play a role in the purchase decision-making process. The buying center includes all members of the organization who play any of five roles in the purchase decision process.

- **Users:** are members of the buying organization who will actually use the purchased product or service.
- **Influencers:** are people in an organization's buying center who affect the buying decision; they often help define specifications and also provide information for evaluating alternatives.
- **Buyers:** are people in an organization's buying center who make an actual purchase.
- **Deciders:** are People in an organization are buying center who have formal or informal power to select or approve the final suppliers.
- **Gatekeepers:** are people in an organization's buying center who control the flow of information to others.

Decision Making Process in Business Buying

The eight stages of the business buyer decision process.



1. **Problem recognition:** The first stage of the business buying process in which someone in the company recognizes a problem or need that can be met by acquiring a good or a service.

2. **General need description:** The stage in the business buying process in which a buyer describes the general characteristics and quantity of a needed item.
3. **Product specification:** The stage of the business buying process in which the buying organization decides on and specifies the best technical product characteristics for a needed item.
4. **Supplier search:** The stage of the business buying process in which the buyer tries to find the best vendors.
5. **Proposal solicitation:** The stage of the business buying process in which the buyer invites qualified suppliers to submit proposals.
6. **Supplier selection:** The stage of the business buying process in which the buyer reviews proposals and selects a supplier or suppliers.
7. **Order-routine specification:** The stage of the business buying process in which the buyer writes the final order with the chosen supplier(s), listing the technical specifications, quantity needed, expected time of delivery, return policies, and warranties.
8. **Performance review:** The stage of the business buying process in which the buyer assesses the performance of the supplier and decides to continue, modify, or drop the arrangement.

Influence on Business Buying Decision

Business buyers are subject to many influences when they make their buying decisions. Various groups of influences on business buyers are **environmental, organizational, interpersonal, and individual**.

- ❖ **Environmental factors:** Business buyers are influenced heavily by factors in the current and expected economic environment, such as the level of primary demand, the economic outlook, and the cost of money. As economic uncertainty rises, business buyers cut back on new investments and attempt to reduce their inventories. Business buyers also are affected by technological, political and competitive developments in the environment.
- ❖ **Organizational factors:** Each buying organization has its own objectives, policies, procedures, structure and systems. The business marketer must know these organizational factors. Questions such as these arise: How many people are involved in the buying decision? Who are they? What are their evaluative criteria? What are the company's policies and limits on its buyers?
- ❖ **Interpersonal factors:** The buying centre usually includes many participants who influence each other. The business marketer often finds it difficult to determine what kinds of interpersonal factors and group dynamics enter into the buying process.
- ❖ **Individual factors:** Each participant in the business buying-decision process brings in personal motives, perceptions and preferences.

Engaging Business Buyers with Digital and Social Marketing

Two important technology advancements: **e-procurement and online purchasing and digital and social media marketing**.

- **E-procurement (online purchasing):** means purchasing through electronic connections between buyers and sellers—usually online.

- **Digital and social media marketing:** Using digital and social media marketing approaches to engage business customers and manage customer relationships anywhere, anytime.

Chapter 4: Market Segmentation, Targeting and Positioning

4.1 Market Segmentation

Market segmentation involves dividing a market into distinct groups of buyers who have different needs, characteristics, or behaviors and who might require separate marketing strategies or mixes. It is the process of dividing the total market for a good or service into several smaller, internally homogenous groups. It is the process of breaking down all consumers into groups of potential buyers with similar characteristics. Segmentation is the process of classifying customers into groups which share some common characteristic.

Importance of Market Segmentation

Generally market segmentation has the following two main importance's:

- ☞ It reduce risk in deciding where, when, how, and to whom a product, service, or brand will be marketed.
- ☞ It increases marketing efficiency by directing effort specifically toward the designated segment in a manner consistent with that segment's characteristics.

Market Segmentation Procedure

There are different stages or procedures in market segmentation: survey, analysis, and profiling.

1. **Survey stage:** The researcher conducts exploratory interviews and focus groups to gain insight into consumer motivations, attitudes, and behavior. Then the researcher prepares a questionnaire and collects data on attributes and their importance ratings; brand awareness and brand ratings; product usage patterns, attitudes toward the product category; and demographics, geographic, psychographics, and media graphics of the respondents.
2. **Analysis Stage:** The research applies factor analysis to the data to remove highly correlated variables, and then applies cluster analysis to create a specified number of maximally different segments.
3. **Profiling Stage:** Each cluster profiled in terms of its distinguishing attitudes, behavior, demographics, psychographics, and media patterns. Each segment is given a name based on its dominant characteristics.

Levels of Market Segmentation

Market segmentation can be carried out at many different levels. Companies can practice no segmentation (mass marketing), complete segmentation (micromarketing) or something in between (segment marketing or niche marketing).

- ☞ **Mass marketing:** Using almost the same product, promotion and distribution for all consumers.
- ☞ **Segment marketing:** Adapting a company's offerings so they more closely match the needs of one or more segments.
- ☞ **Niche marketing:** Adapting a company's offerings to more closely match the needs of one or more sub segments where there is often little competition.
- ☞ **Micromarketing:** A form of target marketing in which companies tailor their marketing programmes to the needs and wants of narrowly defined geographic, demographic, psychographic or behavioral segments.

Micromarketing includes local marketing and individual marketing.

Local marketing - Local marketing involves tailoring brands and promotions to the needs and wants of local customer groups – cities, neighborhoods and even specific stores. **Individual marketing** - means tailoring products and marketing programmes to the needs and preferences of individual customers. **Mass customization** is the ability to prepare on a mass basis individually designed products and communications to meet each customer's requirements. Mass customization is preparing individually designed products and communication on a large scale.

Patterns of Market Segmentation

Market segments can be built in many ways. One way is to identify preference segments. Suppose ice cream buyers are asked how much they value sweetness and creaminess as the product attributes. Three different patterns can emerge.

- ➔ **Homogeneous Preferences:** This preference shows a market where all the customers have roughly the same preference. The market shows no natural segments. We would predict that existing brands would be similar and cluster around the middle of the scale in both sweetness and creaminess.
- ➔ **Diffused Preferences:** At the other extreme, consumer preferences may be scattered throughout the space; indicating that consumers vary greatly in their preferences. The first brand to enter the market is likely to position center to appeal to the most people. A brand in the center minimizes the sum of total customs dissatisfaction. A second competitor could locate next to the first brand and fight for market share. Or it clear locate is a corner to attract a customs group that was not satisfied with the cluster brand. If several brands are in the market, they are likely to position through at the space and show real differences to match consumer-preference differences.
- ➔ **Clustered Preferences:** The market might reveal distinct preference clusters, called natural market segments. The firm in this market has three options. It might position in the center, hoping to appeal to all groups. It might position in the largest market segment (concentrated marketing). It might

develop several brands, each positioned in a different segment of the first firm developed only one brand, competitors would enter and introduce brands in the others segments.

Basis for Segmentation- *Criteria used to classify buyers.*

There is no single way to segment a market. A marketer has to try different segmentation variables, alone and in combination, to find the best way to view the market structure. Major variables used in segmenting consumer markets are: geographic, demographic, psychographic and behavioral variables.

☞ **Geographic segmentation**

Geographic segmentation: *Dividing a market into different geographical units such as nations, states, regions, counties, cities or neighborhoods.*

☞ **Demographic Segmentation**

Demographic segmentation: *divides the market into segments based on variables such as age, life-cycle stage, gender, income, occupation, education, religion, ethnicity, and generation. Age and life-cycle segmentation - Dividing a market into different age and life-cycle groups. Gender segmentation - Dividing a market into different segments based on gender. Income segmentation - Dividing a market into different income segments.*

☞ **Psychographic Segmentation**

Psychographic segmentation: *divides buyers into different segments based on lifestyle or personality characteristics. People in the same demographic group can have very different psychographic characteristics.*

☞ **Behavioral Segmentation**

Behavioral segmentation: *divides buyers into segments based on their knowledge, attitudes, uses, or responses to a product. Many marketers believe that behavior variables are the best starting point for building market segments. Occasion segmentation- Dividing the market into segments according to occasions when buyers get the idea to buy, actually make their purchase, or use the purchased item. Benefit segmentation - Dividing the market into segments according to the different benefits that consumers seek from the product.*

Targeting the Market

Market targeting (targeting) - *Evaluating each market segment's attractiveness and selecting one or more segments to serve. Targeting involves the process of evaluating each segments attractiveness and selecting one or more segments to enter.*

Market Segment Evaluation

*In evaluating different market segments, a firm must look at two dimensions: **segment attractiveness and business strength (company fit).***

1) Segment Attractiveness: *The Company must first collect and analyze data on current sales value, projected sales-growth rates and expected profit margins for the various segments. Segments with the right size and growth characteristics are interesting. Some companies will want to target segments with large current sales, a high growth rate and a high profit margin.*

The company must examine several significant structural factors that affect long-run segment attractiveness. Segment attractiveness is affected by the following factors:

- 1. The company should assess current and potential competitors. A segment is less attractive if it already contains many strong and aggressive competitors.*
- 2. Marketers also should consider the threat of substitute products. A segment is less attractive actual or potential substitutes for the product already exist. Substitutes limit the potential prices and profits from segments. The relative power of buyers also affects segment attractiveness.*
- 3. Finally, segment attractiveness depends on the relative power of suppliers, a segment is less attractive if the suppliers of raw materials, equipment, labor and services in the segment are powerful enough to raise prices or reduce the quality or quantity of ordered goods and services. Suppliers tend to be powerful when they are large and concentrated, when few substitutes exist, or when the supplied product is an important input.*

2) Business Strengths: *the company must consider its objectives and resources for that segment. It is best to discard some attractive segments quickly because they do not mesh with the company's long-run objectives.*

Selecting Market Segments

When a segment fits the company's strengths, the company must then decide whether it has the skills and resources needed to succeed in that segment. The company should enter segments only where it can offer superior value and gain advantages over competitors.

Market Positioning

Positioning is arranging for a product to occupy a clear, distinctive and desirable place relative to competing products in the mind of the consumer. *Market Positioning is the act of designing the company's offering and image to occupy a distinctive place in the mind of the target market. It involves inserting the brand's unique benefits and differentiation in customers' minds. The end result of positioning is the successful*

creation of a customer focused value proposition, a basic reason why the target market should buy the product. Positioning is not what you do to a product but what you do to the mind of the prospect.

Chapter 5: Managing Marketing Mix Elements

Introduction

Managing marketing mix elements refers to the process of developing and implementing effective marketing strategies by carefully integrating and balancing the four Ps of marketing: product, price, promotion, and place. Product refers to the tangible or intangible item being offered by a company. It includes features, design, packaging, branding, and other factors that impact its desirability to the target market. Price refers to the amount a customer is willing to pay for a product or service. Promotion refers to the advertising, sales promotion, public relations, personal selling, and other tactics used to promote products or services to customers. Place refers to the distribution channels used to sell products or services to customers.

5.1. What is a Product?

A product is defined as anything that can be offered to a market for attention, acquisition, use, or consumption that might satisfy a want or need. Products include services, events, persons, places, organizations, and ideas. Services are a form of product that consists of activities, benefits, or satisfactions offered for sale that are essentially intangible and do not result in the ownership of anything. Examples include banking, hotel, airline travel, wireless communication, and home-repair services.

Characteristics of service

Services have several distinctive characteristics that set them apart from tangible goods.

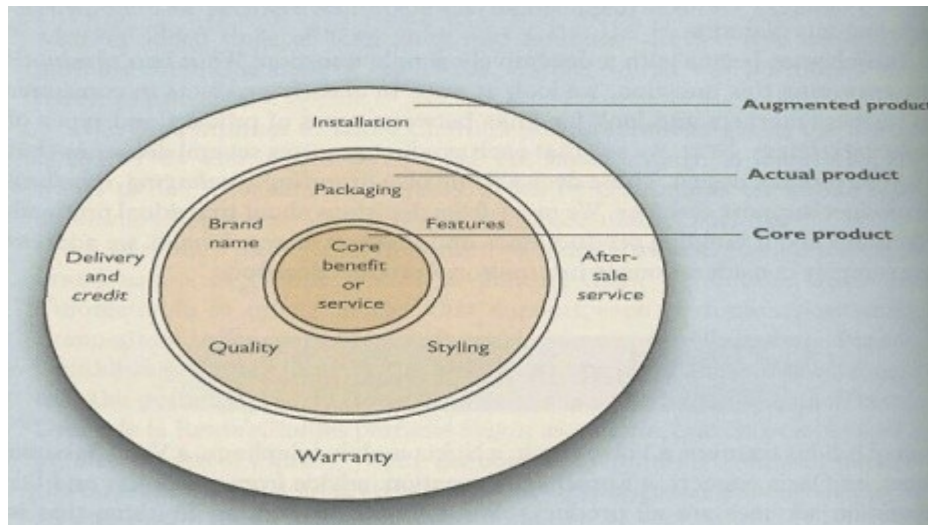
1. **Intangibility:** Services are intangible, which means that they cannot be seen, touched.
2. **Inseparability:** Services are typically produced and consumed at the same time, which means that the production and consumption of a service are inseparable.
3. **Variability/Heterogeneity:** Services can be highly variable in quality and consistency, depending on the skills and abilities of the service providers and the specific circumstances of the service delivery.
4. **Perishability:** Services are perishable, which means that they cannot be stored or saved for later use. This makes it important for service providers to manage capacity and demand in order to ensure that they can meet the needs of their customers in a timely and efficient manner.
5. **Does not result ownership of anything:** When you purchase a product, you become the owner of that physical item and you can use it as you wish. However, when you purchase a service, you are typically paying for an experience or a result, rather than for ownership of something tangible.

Levels of Product

Lecture Note on: Principle of Marketing

Product planners need to think about products on three levels.

- 1. Core product:** The problem-solving services or core benefits that consumers are really buying when they obtain a product.
- 2. Actual product:** A product's parts, quality level, features, design, brand name, packaging and other attributes that combine to deliver core product benefits.
- 3. Augmented product:** Additional consumer services and benefits built around the core and actual products.



Classification of a product

Products fall into two broad classes based on the types of consumers who use them: consumer products and industrial products.

➔ **Consumer product:** A product bought by final consumers for personal consumption.

- 1. Convenience product:** A consumer product that customers usually buy frequently, immediately, and with minimal comparison and buying effort.
- 2. Shopping product:** A consumer product that the customer, in the process of selecting and purchasing, usually compares on such attributes as suitability, quality, price, and style.
- 3. Specialty product:** A consumer product with unique characteristics or brand identification for which a significant group of buyers is willing to make a special purchase effort.
- 4. Unsought product:** A consumer product that the consumer either does not know about or knows about but does not normally consider buying.

➔ **Industrial product:** A product bought by individuals and organizations for further processing or for use in conducting a business.

👍 **Materials and Parts:** Are goods that enter the manufacturer's product completely.

👍 **Capital Items:** Are long-lasting goods that facilitate the finished product.



Supplies and Business Services: are short-lasting goods and services that facilitate the finished product. Ex. Lubricants oil

Product mix and product line

Product mix (product portfolio) is the total range of products that a firm offers. It is the set of all product lines and items that a particular seller offers for sale.

. A **product line** is a group of products that are closely related because they function in a similar manner, are sold to the same customer groups, are marketed through the same types of outlets, or fall within given price ranges. A company's product mix has four important dimensions: width, length, depth, and consistency.

1. **Product mix width** refers to the number of different product lines the company carries.
2. **Product mix length** refers to the total number of items a company carries within its product lines.
3. **Product line depth** refers to the number of versions offered of each product in the line.
4. The **consistency** of the product mix refers to how closely related the various product lines are in end use, production requirements, distribution channels, or some other way.

The major product line decision involves **product line length**—the number of items in the product line. How many offerings there are in a single product line—that is, whether the product line is broad or narrow—is called **line depth**. When new but similar products are added to the product line, it is called **a line extension**. **Line depth** is the number of variations in a single product line. Line extension is a new idea or offering that occurs when a company comes out with another model (related product or service) based on the same platform and brand as one of its other products. **Line breadth** is the number of different, or distinct, product lines offered by a company.

A company can expand its product line in two ways: by line filling or line stretching. **Product line filling** involves adding more items within the present range of the line. Product line stretching occurs when a company lengthens its product line beyond its current range.

Product Life cycle

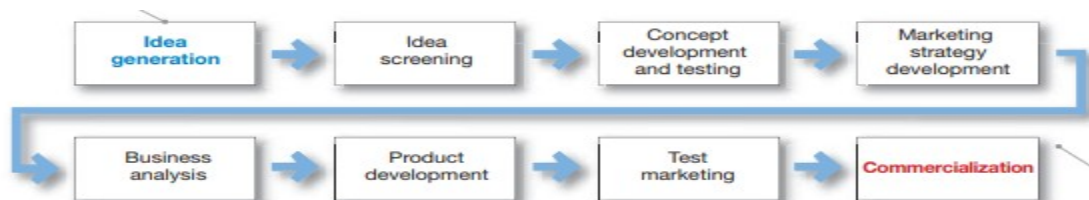
The product life cycle (PLC) includes the stages the product goes through after development, from introduction to the end of the product. Product life cycle (PLC) is the stages (introduction, growth, maturity, and decline) that a product may go through over time.

1. **Introduction:** The first stage in a product's life cycle is the introduction stage. New product is first distributed and made available for purchase. A period of slow sales growth. Customers are like to take the status of being first.

- 2. Growth:** is a period of rapid market acceptance and increasing profits. The growth stage is characterized by increasing sales, more competitors, and higher profits. Marked by a rapid climb in sales. New competitors enter in to the market attracted by the opportunities for large-scale production & profit. It is a period of rapid market acceptance and substantial profit improvement.
- 3. Maturity:** The stage of the product life cycle where sales begin to level off and competitors have saturated the market. Sales increase reaching its highest peak. Reduction in prices may occur in this stage.
- 4. Decline:** When sales decrease and continue to drop to lower levels, the product has entered the decline stage of the product life cycle. The product sales declines as substitutes enter the market or customers become dissatisfied or shift to other products. As sales and profit decline, some firms withdraw from the market.

New Product Development Process

There are eight major steps in new product development processes.



- 1. Idea Generations-** New product development starts with idea generation—the systematic search for new product ideas. The basic idea is created and described. This is the continuous & Systematic search few new product opportunities. It involves outlining the sources of new ideas & methods for generating them. Internal sources: employees, top management, etc. External sources: include customers, competitors, and suppliers.
- 2. Idea Screening-** which helps spot good ideas and drop poor ones. Filtering ideas to pick out good ones. Not all ideas are used in new product development. Purpose: is to reduce the number of ideas. After the firm has identified a set of potential product idea, it must screen them. Poor, unsuitable or unattractive ideas are weeded out form further considerations. Product ideas that do not fulfill the criteria will be rejected.
- 3. Concept Development &Testing-** This stage involves asking potential consumers to react to the picture, written statement, or oral description of the product. An attractive idea must then be developed into a product concept. Product concept is a detailed version of the new product idea stated in meaningful consumer terms. It is important to distinguish between a product idea, a product concept, and a product image. A product idea is an idea for a possible product that the company can see itself offering to the market. A product concept is a detailed version of the idea stated in meaningful consumer terms. A product image is the way consumers perceive an actual or potential product. Concept testing is testing new product concepts with a group of target consumers to find out if the concepts have strong consumer appeal.

- 4. Marketing strategy development-** *it is designing an initial marketing strategy for a new product based on the product concept.*
- 5. Business Analysis-** *it is a review of the sales, costs, and profit projections for a new product to find out whether these factors satisfy the company's objectives. The stage requires the study of the attractiveness of the business such as the extent of demand for the product; sales, cost and profit estimates.*
- 6. Product development-** *Developing the product concept into a physical product to ensure that the product idea can be turned into a workable market offering. This stage converts a product idea in to a physical form and identifies a basic marketing strategy. This stage is the actual product development stage.*
- 7. Market Testing-** *The product is ready to be dressed up with a brand name, packaging and preliminary marketing program. It is the stage at which the product and the marketing program are introduced to more realistic market settings.*
- 8. Commercialization (launching)** – *the product is made available to the customers. It involves introducing (launching) a new product in to the market. At this stage production starts, marketing program begins to operate and products flow to the market for sale. Aspects to considered: when (timing), where (geographical strategy), to whom (target market prospects), and how (introductory market strategy).*

Branding

*Branding is the practice of creating a unique name, symbol, or design that identifies and distinguishes a product or service from its competitors. A well-established brand can help build customer loyalty, increase brand recognition and awareness, and differentiate a company's products from others in the market. **Branding** is the set of activities designed to create a brand and position it in the minds of consumers. **Brand:** A name, picture, design, or symbol, or combination of those elements, used by a seller to differentiate its offerings from competitors'. **Brand name:** is the spoken part of an identity used to describe of a brand. Brand mark: is a symbol or logo used to identify a brand.*

Brand Strategy

A company has four choices when it comes to brand strategy.

- 1. Line Extensions:** *occur when a company introduces additional items in a given product category under the same brand name, such as new flavors, forms, colors, ingredients or package sizes. It occur when a company introduces additional items in the same product category under the same brand name.*
- 2. Brand Extensions:** *A brand-extension (or brand-stretching) strategy is any effort to use a successful brand name to launch new or modified products in a new category.*
- 3. Multibands:** *introduce additional brands in the same product category.*
- 4. New Brands:** *Firms that favour a multi-brand approach are likely to create a new brand to differentiate a new product, whether it is introduced into an existing or a new-product category.*

		Product category	
		Existing	New
Brand name	Existing	Line extension	Brand extension
	New	Multibrands	New brands

Requirements of Good Brand

Good brands should fulfill the following criteria

- It should be easy to pronounce, spell out and remember
- It should be distinctive
- It should suggest something about the product's benefits and characteristics
- It should be large enough to be applicable to new products that may be added to the product line
- Has possibility of registration and legal protection

Why Branding?

Branding is essentially seller's promise to consistently deliver a specific set of features, benefits and services to the buyers. Some of the additional reasons for branding are:

- *To facilitate product identification – customer can order a product by name instead of description.*
- *To assure customers that a product/service has a certain level of quality and it is possible for them to get comparable quality products by reordering the same brand.*
- *Reputation of brands also affect consumer loyalty*
- *Price comparisons are reduced, as customers perceive brand distinctiveness.*
- *It provides legal protection unique product features*

Brand Equity and Brand Value

Brand equity is the differential effect that knowing the brand name has on customer response to the product and its marketing. Brand strength along four consumer perception dimensions:

1. **Differentiation** (what makes the brand stand out)
2. **Relevance** (how consumers feel it meets their needs)
3. **Knowledge** (how much consumers know about the brand)
4. **Esteem** (how highly consumers regard and respect the brand)

Brand value is the total financial value of a brand. High brand equity provides a company with many competitive advantages. A powerful brand enjoys a high level of consumer brand awareness and loyalty.

The fundamental asset underlying brand equity is **customer equity**- the value of customer relationships that the brand creates.

Packaging Decisions

Packaging refers to the physical container or covering that holds a product. Packaging is the activities of designing and producing the container or wrapper for a product. Packaging means the wrapping or bottling of products to make them safe from damages during transportation and storage.

Labeling

Labeling refers to the information printed on or attached to a product or its packaging. This information includes product name, manufacturer's name and address, item number, country of origin, dosage instructions (for pharmaceuticals), warnings or contraindications, and other relevant product information. Labeling requirements vary by product type and by country; businesses must comply with all relevant labeling laws and regulations to avoid legal or financial penalties. Label is a part of a product that carries information about the product and the seller. A label may be part of the package, or it may be a tag attached to the product. Labels may range from simple tags attached to products to complex graphics that are part of the package. They perform several functions. The label identifies the product or brand. The label might also grade the product, or describe several things about the product – who made it, where it was made, when it was made, its contents, how it is to be used and how to use it safely. Finally, the label might promote the product through attractive graphics.

Pricing Decision

Meaning of price?

Price is the amount of money charged for a product or service or the sum of the values that customers exchange for the benefits of having or using the product or service. It is the quantity of payments given by one party to another in return for goods or services. It is what we pay for what we get. Price is the only element in the marketing mix that produces revenue; all other elements represent costs. Price is also one of the most flexible marketing mix elements.

Pricing Objectives

Different firms want to accomplish different things with their pricing strategies. Pricing objectives are what an organization wants to accomplish with its pricing.

- ☞ **Earning a Targeted Return on Investment (ROI):** ROI, or return on investment, is the amount of profit an organization hopes to make given the amount of assets, or money, it has tied up in a product. ROI is a common pricing objective for many firms.

- ☞ **Maximizing Profits:** Many companies set their prices to increase their revenues as much as possible relative to their costs. To maximize its profits, a company must also focus on cutting costs or implementing programs to encourage customer loyalty.
- ☞ **Maximizing Sales:** it involves pricing products to generate as much revenue as possible, regardless of what it does to a firm's profits.
- ☞ **Maximizing Market Share:** Capturing more market share doesn't necessarily mean a firm will earn higher profits.
- ☞ **Maintaining the Status Quo:** Sometimes a firm's objective may be to maintain the status quo or simply meet, or equal, its competitors' prices or keep its current prices. Companies, of course, monitor their competitors' prices closely when they adopt a status quo pricing objective.

Factors Affecting Pricing Decisions

A company's pricing decisions are affected by both internal company factors and external environmental factors.

Internal Factors: Internal factors affecting pricing include the company's marketing objectives, marketing mix strategy, and costs.

- ☞ **Marketing Objectives:** The clearer a firm is about its objectives, the easier it is to set price. Examples of common objectives are survival, current profit maximization, market share leadership, and product quality leadership.
- i. **Survival** as their major objective if they are troubled by too much capacity, heavy competition, or changing customers' wants. To keep a plant going, a company may set a low price, hoping to increase demand. In this case, profits are less important than survival. As long as their prices cover variable costs and some fixed costs, they can stay in business. **However**, survival is only a short-term objective. In the long run, the firm must learn how to add value that consumers will pay for or face extinction.
- ii. **Current profit maximization** They estimate what demand and costs will be at different prices and choose the price that will produce the maximum current profit, cash flow, or return on investment. The company wants current financial results rather than long-run performance.
- iii. **Market share leadership.** They believe that the company with the largest market share will enjoy the lowest costs and highest long-run profit. To become the market share leader, these firms set prices as low as possible.

- iv. **Product quality leadership.** This normally calls for charging a high price to cover higher performance quality and the high cost of R&D.

II. Marketing-Mix Strategy

A shift in any one of the elements has an immediate effect on the other three—production, promotion and distribution. Price decisions must be coordinated with product design, distribution and promotion decisions to form a consistent and effective marketing program.

III. Costs

Costs set the floor for the price that the company can charge for its product. The company wants to charge a price that both covers all its costs for producing, distributing, and selling the product and delivers a fair rate of return for its effort and risk. A company's costs may be an important element in its pricing strategy. Companies with lower costs can set lower prices that result in greater sales and profits.

Types of Costs

*A company's costs take two forms, fixed and variable. **Fixed costs** (also known as **overhead**) are costs that do not vary with production or sales level.*

***Variable costs** vary directly with the level of production.*

***Total costs** are the sum of the fixed and variable costs for any given level of production. Management wants to charge a price that will at least cover the total production costs at a given level of production.*

External Factors Affecting Pricing Decisions

External factors that affect pricing decisions include the nature of the market and demand, competition, and other environmental elements.

I. Market reaction and Demand

Whereas costs set the lower limit of prices, demand sets the upper limit or the ceiling price. Both consumer & industrial buyers balance the price of a product or service against the benefits of owning it.

II. Competitors' Costs, Prices, and Offers

Another external factor affecting the company's pricing decisions is competitors' costs and prices and possible competitor reactions to the company's own pricing moves.

General Pricing Approaches

There are three major pricing approaches: the cost-based approach (cost-plus pricing, break-even analysis, and target profit pricing); the buyer based approach (value-based pricing); and the

competition-based approach (going-rate and sealed-bid pricing)

1. Cost-Based Pricing

i. Cost-Plus Pricing (Mark Up Pricing)

It is adding a standard markup to the cost of the product. Sellers tell their customers they will charge cost plus a specified markup.

$$\text{Unit Cost} = \text{variable Cost} + \frac{\text{Fixed Cost}}{\text{Unit sales}}$$

$$\text{Markup Price} = \frac{\text{Unit Cost}}{(1 - \text{desired return on sale})}$$

Suppose a toaster manufacturer has the following costs and sales expectations:

Variable costs per unit Br 10

Fixed cost Br 300,000

Expected unit sales 50,000

Assume the manufacturer wants to earn a 20 % markup on sales.

Required

A. Determine unit cost?

B. Determine markup price?

ii. Break-even Analysis and Target Return Pricing

Break-even analysis uses the concept of a break-even chart to develop a system of target profit pricing in which the organization tries to determine the price that will produce the profit it is seeking. Target pricing uses the concept of a break-even chart, which shows the total cost and total revenue expected at different sales volume levels.

$$\text{Target-return price} = \text{unit cost} + \frac{\text{desired return} \times \text{invested capital}}{\text{Unit sales}}$$

$$\text{Break-even Volume} = \frac{\text{Fixed Cost}}{\text{Price} - \text{Variable Cost}}$$

Example: ABC company has an objective of achieving a required rate of return of 20% on goods that they sell. The company manufactures pencils and has already invested Br 10,000 in the business. The cost of each pencil is Br 16. Here we are assuming that sales can hit 50,000 units in a year.

The target-return price would be $16 + (20\% \times 10,000)/50,000 = \text{Br } 20$

Given: Fixed cost = Br 1,200; variable cost per unit = Br 4; sales price per unit

Solution: break even volume = fixed cost / sales price – variable cost $1200/12-4 = 150$

2. Value-Based Pricing

Value-based pricing is a pricing strategy where the price of a product or service is based on the perceived value that it provides to the customer. It uses buyers' perceptions of value, not the seller's cost, as the key to pricing.

3. Competition-Based Pricing

Consumers will base their judgments of a product's value on the prices that competitors charge for similar products.

Pricing strategies

Pricing decisions are subject to a very complex array of environmental and competitive forces. A company sets not a single price, but rather a pricing structure that covers different items in its line. This pricing structure changes over time as products move through their life cycles. The company adjusts product prices to reflect changes in costs and demand and to account for variations in buyers and situations.

1) New-Product Pricing Strategies

Pricing strategies usually change as the product passes through its life cycle. The introductory stage is especially challenging. They can choose between two broad strategies: market-skimming pricing **and** market penetration pricing.

a) Market-Skimming Pricing

Many companies that invent new products initially set high prices to "skim" revenues layer by layer from the market. Market skimming makes sense only under certain conditions. First, the product's quality and image must support its higher price, and enough buyers must want the product at that price. Second, competitors should not be able to enter the market easily and undercut the high price.

b) Market-Penetration Pricing

They set a low initial price in order to **penetrate** the market quickly and deeply—to attract a large number of buyers quickly and win a large market share. The high sales volume results in falling costs, allowing the company to cut its price even further. Several conditions must be met for this low-price strategy to work.

- I. The market must be highly price sensitive so that a low price produces more market growth.*
- II. Production and distribution costs must fall as sales volume increases.*
- III. The low price must help keep out the competition, and the penetration price must maintain its low-price position*

2) Product Mix Pricing Strategies

The strategy for setting a product's price often has to be changed when the product is part of a product mix. In this case, the firm looks for a set of prices that maximizes the profits on the total product mix. Pricing is difficult because the various products have related demand and costs and face different degrees of competition.

- A. **Product line pricing** is the pricing strategy where a company prices its products in a product line differently based on features, functions, and characteristics. This strategy is often used to appeal to different market segments and to differentiate the products in the line.*
- B. **By-product pricing** is a pricing strategy where a company sets a price for the by-product that is generated during the production of the main product. By-product pricing is often used in industries such as agriculture, where the waste produced during the production process can be sold as a by-product.*
- C. **Captive product pricing** is a pricing strategy where a company sets a low price for a product that is essential to the use of a larger, more expensive product. The objective of this strategy is to encourage customers to buy the more expensive product by making the essential product more affordable.*
- D. **Bundle product pricing** is a pricing strategy where a company offers a group of products or services for sale as a package deal, usually at a lower price than the total cost of the individual items if purchased separately. This strategy is often used to increase sales volume, encourage customers to buy more, and to simplify the purchasing process for customers.*

3) Price-Adjustment Strategies

Companies usually adjust their basic prices to account for various customer differences and changing situations.

- A. **Discount and allowance pricing** refers to offering customers a price reduction or other incentives to encourage them to purchase a product or service. This can include offering a percentage off the regular price, providing free items or services with a purchase, or offering rebates or other financial incentives. Discounts and allowances—can take many forms.*

- ***A cash discount*** is a price reduction to buyers who pay their bills promptly. A typical example is "2/10, net 30," which means that although payment is due within 30 days, the buyer can deduct 2 percent if the bill is paid within 10 days.
- ***A quantity discount*** is a price reduction to buyers who buy large volumes.
- ***A functional discount*** (also called a trade discount) is offered by the seller to trade channel members who perform certain functions, such as selling, storing, and record keeping.
- ***A seasonal discount*** is a price reduction to buyers who buy merchandise or services out of season. For example, Hotels, motels, and airlines will offer seasonal discounts in their slower selling periods. Seasonal discounts allow the seller to keep production steady during an entire year.

B. *Psychological pricing* is a strategy that takes advantage of the way consumers perceive prices. It's a pricing strategy that tries to win the psychology of the buyer. For example, pricing a product at \$9.99 instead of \$10.00 is a common tactic used to make the price seem more affordable.

C. *Segmented or discriminatory pricing* involves offering different prices to different customers based on factors such as their location, age, income level, or other demographic characteristics. This strategy is often used by companies to maximize profits by charging higher prices to customers who are willing to pay more while still attracting customers who are more price-sensitive. Segmented pricing takes several forms.

I. *Location pricing*, a company charges different price for different locations.

II. *Time pricing*, a firm varies its price by the season, the month, the day, and even the hour.

D. *Promotional pricing* involves offering temporary price reductions or other incentives to encourage customers to make a purchase. This can include offering a limited-time discount, providing free gifts with a purchase, or offering a buy-one-get-one-free promotion. Promotional pricing is often used to increase sales during slow periods or to introduce new products to the market. Companies will temporarily price their products below list price and sometimes even below cost. Promotional pricing takes several forms like loss leader pricing, special event pricing, longer payment period pricing, warranties and service contracts, psychological discounts etc.

3. Place/ distribution

Distribution channel refers to the activities involved to transfer the product from its point of production to its point of consumption. It indicates set of interdependent organizations involved in the process of making the product available for use or consumption by the consumer or user.

Marketing/Distribution Channel Functions

The distribution channel moves goods and services from producers to consumers. It overcomes the major time, place, and possession gaps that separate goods and services from those who would use them. Members of the marketing channel perform many key functions:

- **Information:** gathering and distributing marketing research and intelligence information about actors and forces in the marketing environment needed for planning and aiding exchange.
- **Promotion:** developing and spreading persuasive communications about an offer.
- **Contact:** finding and communicating with prospective buyers.
- **Matching:** shaping and fitting the offer to the buyer's needs, including activities such as manufacturing, grading, assembling, and packaging.
- **Negotiation:** reaching an agreement on price and other terms of the offer so that ownership or possession can be transferred. Others help to fulfill the completed transactions.
- **Physical distribution:** transporting and storing goods.
- **Financing:** acquiring and using funds to cover the costs of the channel work.
- **Risk taking:** assuming the risks of carrying out the channel work.

Channel structure and levels

*Channel structure refers all organizations involved through which a product passes between its point of production and point of consumption. Channel level refers the number of intermediaries involved in performing some work in bringing the product and its ownership closer to the final buyer. Marketing channels can broadly classified as direct and indirect channels of distribution. **Direct channel** is a channel used when a manufacturer prefers to sell its products directly to the final user or consumer without the use of intermediaries. **Indirect channel** is a situation where the manufacturer uses intermediaries to sell its products. Distribution channel intermediaries include whole sellers, retailers and agents.*

Intensity of distribution

Intensity of distribution indicates the number of intermediaries used at each channel level. Intensity of distribution can be categorized as:

- **Exclusive distribution:** product providers may want to limit the number of intermediaries involved in distributing their products. The distributor gives only a limited number of dealers the

exclusive right to distribute the product in their sales territories. It is used when the manufacturer wants to exercise high degree of control over channel members and for technical products for which technical assistance is needed from the manufacturer. This strategy can better used for convenience products.

- ***Intensive distribution:*** a producer may want to make its products available everywhere. To make this effective the producer must use as many intermediaries as possible. Therefore, intensive distribution allows the manufacturer to sell its products to any intermediary that is willing to carry out the product.
- ***Selective distribution:*** this strategy lies in between the two extreme distribution strategies. Under this strategy the producer uses more than one but as few as all of the intermediaries that are willing to carry out the company's product. Through this strategy companies can exercise better control over its channel members and allows wider market coverage.

Selecting Channels of Distribution

There are different considerations in channel selection.

- a) *Customer characteristics which includes number of customers, geographic dispersion, purchasing patterns of consumers and use of new channels*
- b) *Product characteristics like unit value of the product, its perish-ability, bulkiness and degree of standardization.*
- c) *Competitor characteristics like their numbers, relative market share, distribution channels and strategy, size of product mix and product lines and overall marketing strategy of competitors.*
- d) *Company characteristics includes relative size and market share, financial condition, size of its product lines, marketing objectives and past channel experience.*
- e) *Environmental characteristics such as economic condition, legal regulation and restrictions, political issues and technological changes.*

A particular product any one of these characteristics greatly influences the choice of channels. For instance, highly perishable products generally require direct channels, or a firm with little financial strength may require intermediaries to perform all the marketing functions.

4. Promotion

The Marketing Communications

Companies must communicate with current and prospective customers. All of their communication effort must be blended into a consistent and coordinated communications program. Promotion is activities

that communicate the product or service and its merits to target customers and persuade them to buy. Communicate with their present and potential customers, retailers, suppliers, other stakeholders, and the general public.

The Marketing Communications Mix (promotion mix)

A company's total marketing communications mix—also called its promotion mix consists of the specific blend of advertising, personal selling, sales promotion, and public relations tools that the company uses to pursue its marketing objectives.

1. ***Advertising:*** Any paid form of non-personal presentation and promotion of ideas, goods, or services by an identified sponsor. Advertising decisions require the following tasks
 - ***Setting Advertising Objectives:*** Setting advertising objectives is the first step in developing an advertising program. These objectives should be based on past decisions about the target market. An advertising objective is a specific communication task to be accomplished with a specific target audience during a specific period of time. Advertising objectives can be classified by primary purpose as: Informative advertising, which is used to inform consumers about a new product or feature or to build primary demand. Persuasive advertising which is used to build selective demand for a brand by persuading consumers that it offers the best quality for their money. Comparison advertising which is advertising that compares one brand directly or indirectly to one or more other brands. Reminder advertising, which is used to keep consumers thinking about a product. This form of advertising is more important for mature products.
 - ***Setting the advertising budget:***
 - ***Setting the advertising message:*** The message should be meaning full (point out the benefits of the product), distinctive (shows that the firm is better than other competitors) reliable (should persuade customers that the firm will provide the stated benefits).
 - ***Media selection:*** to select media, the advertiser must decide what reach and frequency are needed to achieve advertising objectives. Reach is a measure of the percentage of people in the target market who are exposed to the ad campaign during a given period of time. Frequency is a measure of how many times the average person in the target market is exposed to the message. The advertiser also must decide on the desired media impact— is the nature of the media to influence customers. It is the qualitative value of a message exposure through a given medium. For example, for products that need to be demonstrated, messages on television may have more impact than

messages on radio because television uses sight and sound. In general, the more reach, frequency, and impact the advertiser seeks, the higher the advertising budget will have to be.

2. **Sales Promotion:** Sales promotion consists of short-term incentives to encourage the purchase or sale of a product or service. Whereas advertising and personal selling offer reasons to buy a product or service, while sales promotion offers reasons to buy now.
3. **Public Relations:** Public relations involves building good relations with the company's various publics by obtaining favorable publicity, building up a good corporate image, and handling or heading off unfavorable rumors, stories, and events.
4. **Personal selling:** The direct presentation of a product to a prospective customer by a representative of the selling organization is termed as personal selling. Personal selling is the personal communication of information to persuade somebody to buy something. Personal Selling occurs when a company representative comes in direct contact with a customer in order to inform a client about a good or service to get a sale. Personal selling is especially important for business-to-business marketers since products and services are complex and expensive.